

Most Common Interview Questions

Investment Banking Technical Curriculum. The 43 questions that come up most often, grouped by theme. Bracketed items are placeholders to fill in for the specific role.

Behavioral and Fit

- 1 Walk me through your resume, i.e. tell me about yourself.
- 2 What made you decide to attend [University]?
- 3 Why did you major in [Major/Degree]?
- 4 Why investment banking?
- 5 What is investment banking?
- 6 Why our firm? Why not [Competitor]?
- 7 Our group focuses on [Product Group/Industry]. Tell me about what relevant experience you have.
- 8 Tell me about your experience at [Firm/Company].
- 9 What feedback did you hear from your past internships?
- 10 What are your greatest strengths and weaknesses?
- 11 What qualities do you have to be a successful investment banker?
- 12 What tasks do you expect to be responsible for on a day-to-day basis?
- 13 Why should we hire you?
- 14 Which other firms are you currently interviewing with?

Valuation

- 15 How do you value a company?
- 16 What is the difference between equity value and enterprise value?
- 17 How do you calculate enterprise value from equity value (and vice versa)?
- 18 Walk me through a discounted cash flow (DCF) model.
- 19 What is the discount rate (WACC) and how do you calculate it?
- 20 What is the difference between unlevered and levered free cash flow (FCF)?
- 21 How can the terminal value be calculated?
- 22 How do you unlever and relever beta?
- 23 What are the steps to performing comparable company analysis (or precedent transactions)?
- 24 Rank the valuation methods from lowest to highest value.
- 25 How do you value a private company?

Capital Structure and LBO

- 26 Why might a company raise capital through issuances of equity rather than debt?
- 27 What is a leveraged buyout (LBO)?
- 28 Walk me through a basic LBO model.
- 29 Why are LBOs financed with a significant amount of debt?

- 30 Which characteristics make a company an ideal LBO candidate?
- 31 What are the value creation drivers in an LBO?

Accounting and the Financial Statements

- 32 Walk me through the three financial statements.
- 33 How are the financial statements linked?
- 34 If you could only pick two financial statements, which would you select?
- 35 What is the difference between cash and accrual-basis accounting?
- 36 Walk me through how \$10 of depreciation flows through the 3 financial statements.
- 37 What does it mean to expense or capitalize a line item?
- 38 What is net working capital (NWC)?
- 39 How do changes in working capital assets and liabilities impact cash flow?
- 40 What is the impact on the income statement if inventory were to increase by \$10?
- 41 Which of the three financial statements is the most important?
- 42 What does EBITDA represent and why is the non-GAAP metric so widely used?
- 43 Which ratios would you use to measure the liquidity (or solvency) of a company?